

➤ **ASSUMPTIONS OF TECHNICAL ANALYSIS**

❑ The market discounts everything

- Assumes stock price reflects everything.
- All fundamentals are priced into the stock.

❑ Prices move in trends.

- Price movements are assumed to follow particular trend.

❑ History tends to repeat itself

- Market participants provide consistent reaction to similar market stimuli over time.

❑ DOW THEORY

Hypothesis: Dow Theory is based on the hypothesis that the stock market does not perform on a random basis. Rather, it is guided by some specific trends.

❑ Charles Dow

- ❑ **The Founder:** An American journalist (1851–1902) who co-founded **Dow Jones & Company** and **The Wall Street Journal**.
- ❑ **The Father of Technical Analysis:** He was the first to formalize the study of price movements **to predict future market** behaviour.
- ❑ Dow created the Dow Jones Industrial Average and developed "Dow theory" to analyse market trends.



❑ DOW THEORY

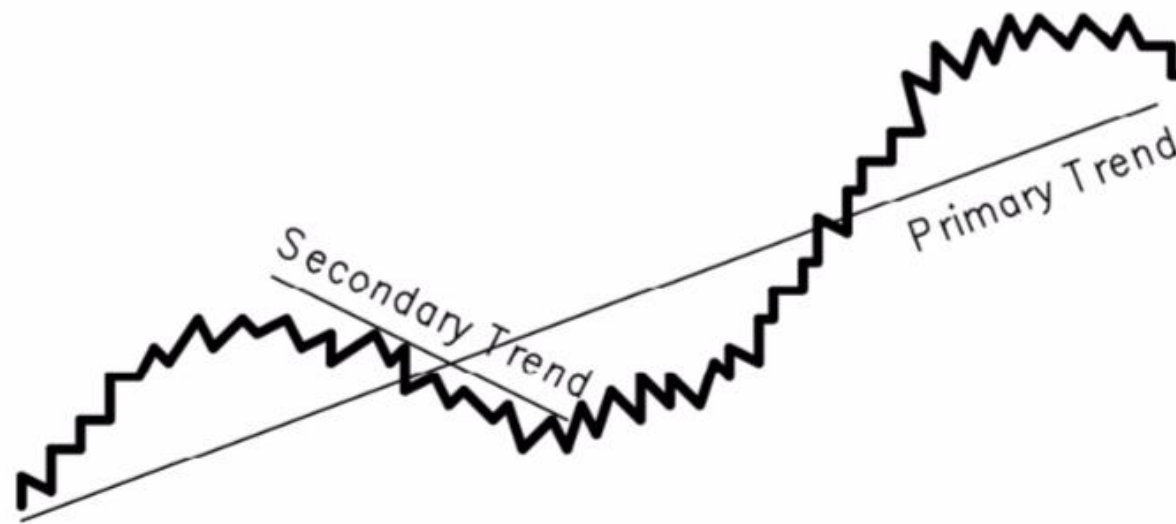
- What Is the Dow Jones (DJIA)?

- The Dow Jones Industrial Average (DJIA), sometimes referred to as the Dow or **Dow 30**, is a stock market index that tracks the performance of 30 large, publicly traded companies in the United States. **Created in 1896**



- Who was Edward Jones?

- **The Statistician:** While Charles Dow was the writer and visionary, Edward Davis Jones was a brilliant statistician.



❑ Primary Trend

Called "the tide" by Dow, this is the trend that defines the long-term direction (up to several years). Others have called this a bull or bear market.

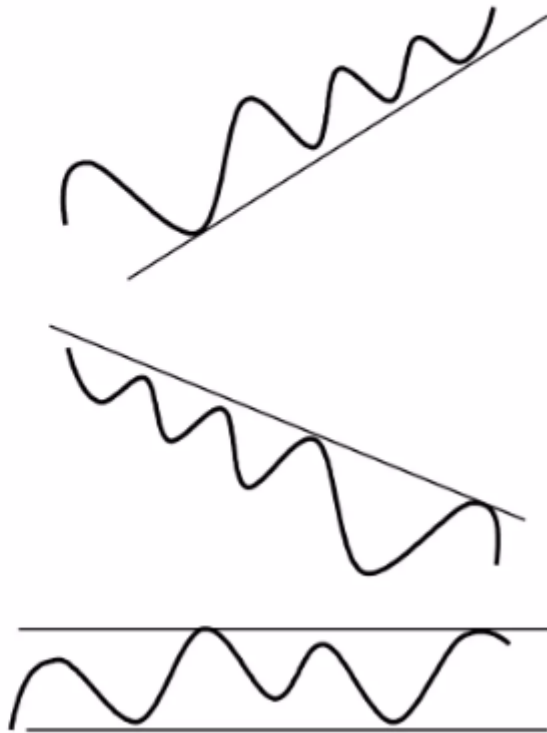
❑ Secondary Trend

Called "the waves" by Dow, this is shorter-term departures from the primary trend (weeks to months).

❑ **MINOR TREND**” day to day trend or movements in prices over few days. It is of very short duration.

Trend Lines

- An Up trend
- A Down trend
- A Trading Range



Sideways

30

Dow Jones Industrial Average Index

O48,199.39 H48,235.06 L47,856.18 C47,916.58 -269.23 (-0.56%)

47,916.58
SELL

0.00

47,916.58
BUY



What is a Chart?



Charts tell a “story”.

A chart is simply a visual representation of **changes in share price** and **trading activity** over a **set time frame**.

- ❑ **The Goal:** To identify the balance of power between buyers (demand) and sellers (supply).
- ❑ Trend used to forecast future behaviour based on historical data

BASIC ELEMENTS OF ALL CHARTS



■ Line chart



Plots only the **Closing Price** of a given period.

- Advantage: **Filters out** intraday '**noise**' and **volatility**.
- Philosophy: The closing price is widely considered the most important consensus of value for the day.

■ Bar Chart



Known as the OHLC Chart.

- ❑ This is a popular technique of showing the **price variation** and **volume** on a particular day
- ❑ Captures four data points per period:
 - **Open** (Left tick)
 - **High** (Top of the vertical line)
 - **Low** (Bottom of the vertical line)
 - **Close** (Right tick)
- ❑ Reveals the range of volatility.

■ Volume Bar Chart



Known as the OHLC Chart.

- ❑ This is a popular technique of showing the **price variation** and **volume** on a particular day
- ❑ Captures four data points per period:
 - **Open** (Left tick)
 - **High** (Top of the vertical line)
 - **Low** (Bottom of the vertical line)
 - **Close** (Right tick)
- ❑ Reveals the range of volatility.

❑ Candlestick Chart



- ❑ They provide much more detail than a simple line chart by showing the "battle" between buyers and sellers within a specific timeframe.

❑Candlestick Chart

Developed in the 1700s.

- Where:** Japan, specifically the **Dojima Rice Exchange** in Osaka (the world's first futures market).
- Who:** Munehisa Homma, a legendary rice merchant.
- The Story:** Homma realized that while **supply and demand** influenced prices, the emotions of traders (fear and greed) played a massive role in price fluctuations. He tracked daily price movements using these "candles" to identify patterns in market psychology. Legend has it he had a streak of 100 consecutive winning trades.



(景光ノ會立) 場市所引取穀米島堂阪大

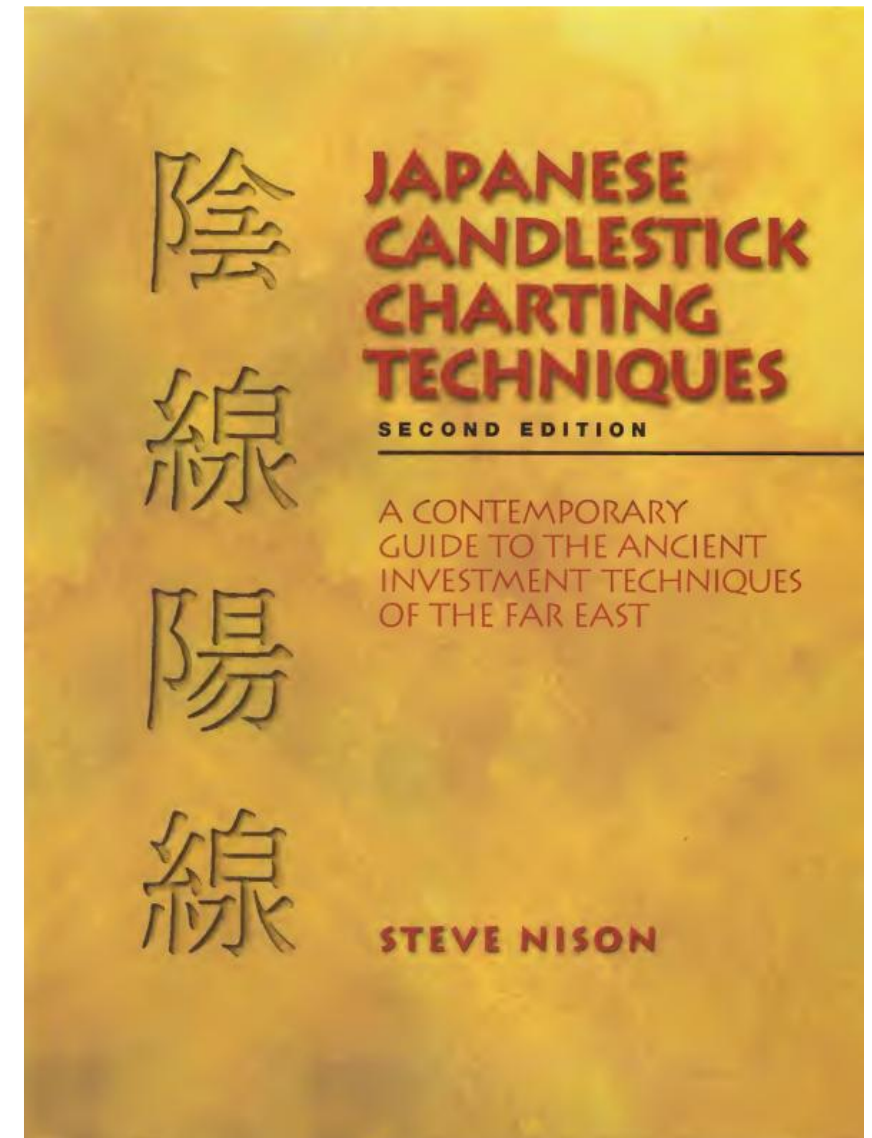
❑ Candlestick Chart

Western Introduction

❑ Steve Nison.

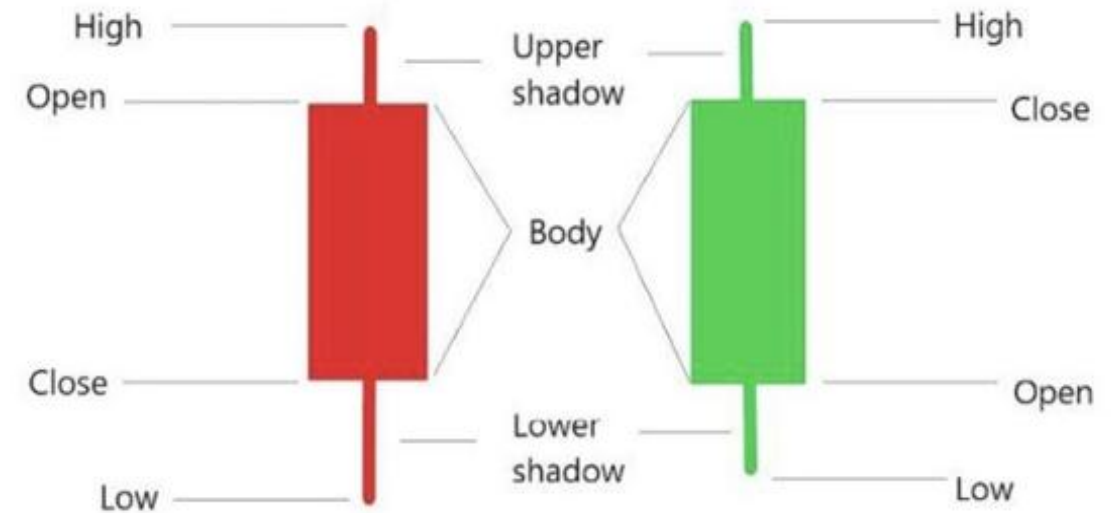
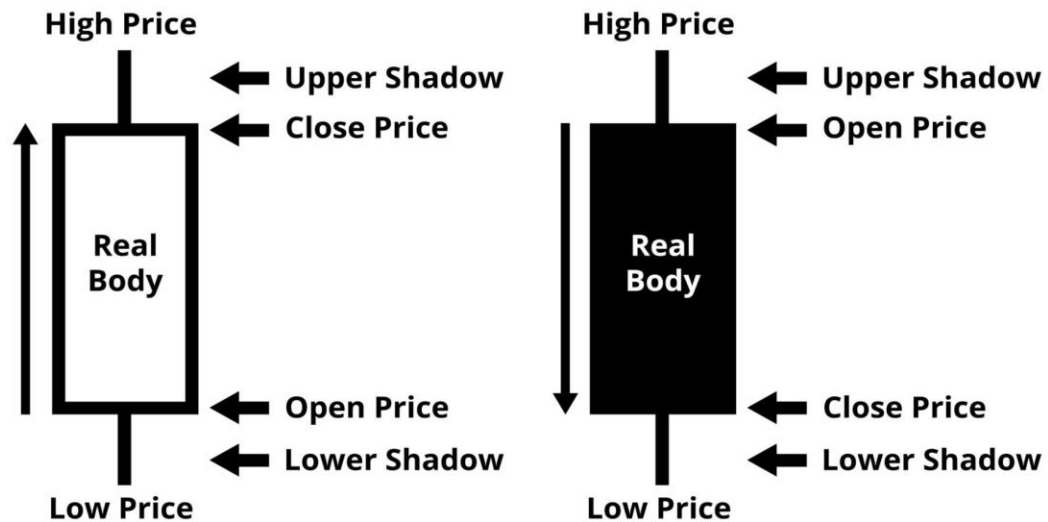
Late 1980s / Early 1990s.

Nison "discovered" these charts through a Japanese broker and spent years researching and translating the concepts. He wrote the seminal book *Japanese Candlestick Charting Techniques*, which revolutionized Western trading.



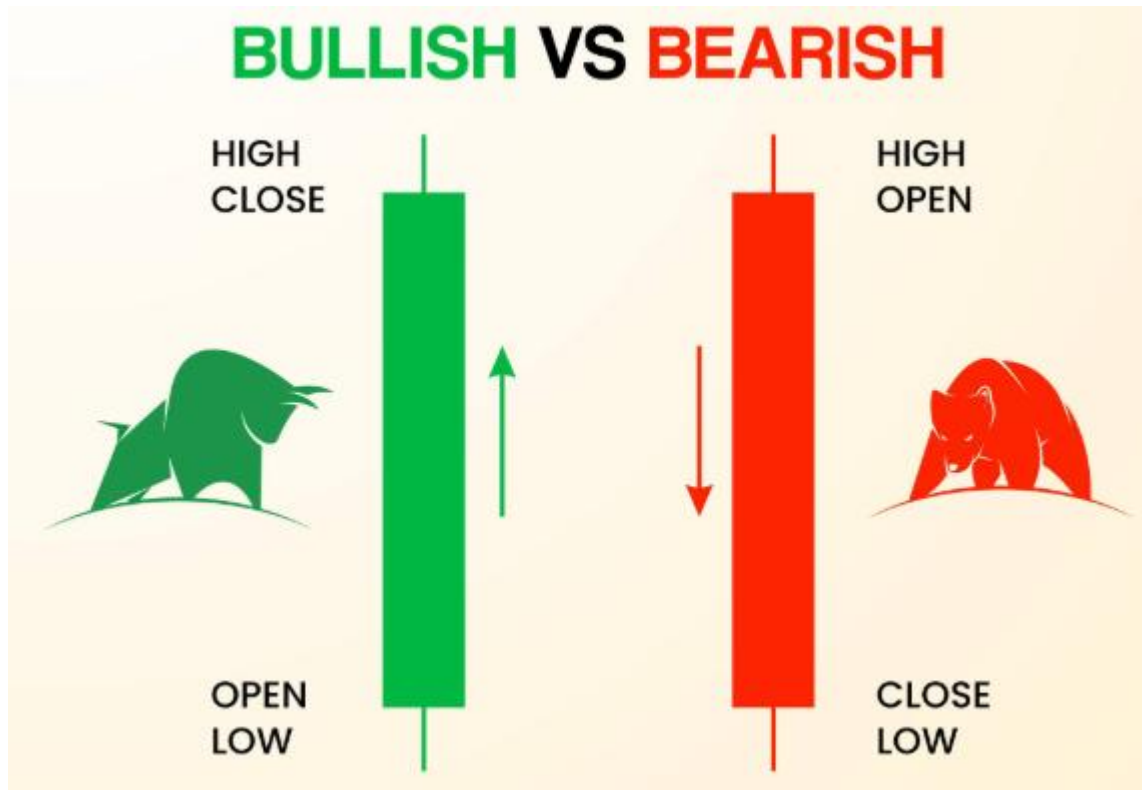
❑ Candlestick Chart

CANDLESTICK COMPONENTS



- ❑ Uses the same OHLC data as bar charts but alters the visual impact.
- ❑ The 'Real Body': The thick area between the open and close.
- ❑ The 'Shadows' (Wicks): The thin lines showing the high and low.

□Candlestick Chart



Bullish Candle (Green/White): Close is higher than the Open. Buyers won the period.

Bearish Candle (Red/Black): Close is lower than the Open. Sellers won the period

Top 3 Bullish Reversal Examples

These signals appear at the bottom of a **downtrend** and suggest the "tide" is turning upward.

1.The Hammer:

A small body at the top with a very long lower wick.

It shows that even though sellers tried to crash the price, buyers fought back and won the session.

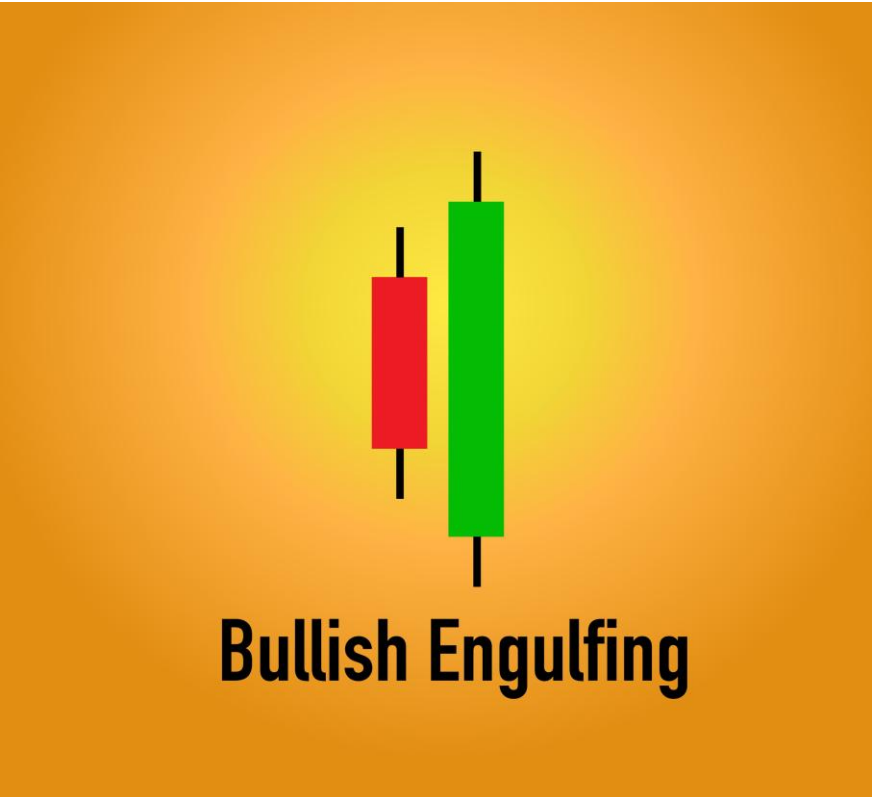
HAMMER CANDLESTICK PATTERN



2- Bullish Engulfing

A small body at the top with a very long lower wick.

It shows that even though sellers tried to crash the price, buyers fought back and won the session.



3- Morning Star:

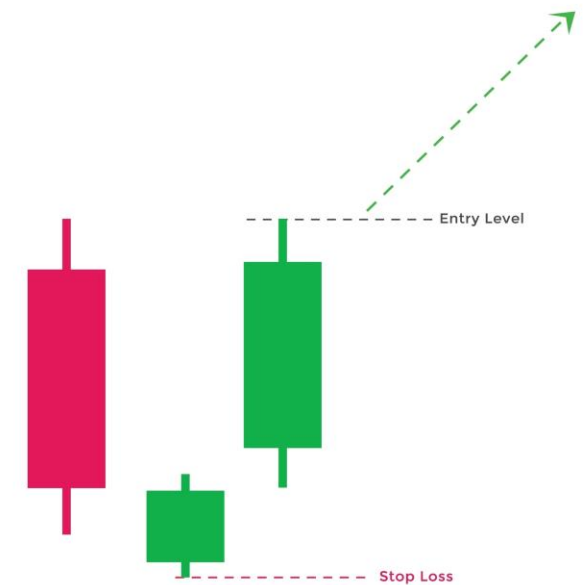
A 3-candle setup (Long Red → Small Star → Long Green).

Why it's famous: It is the classic "rebirth" pattern. The middle "star" represents the moment of total market indecision before the new uptrend begins.

APEXRESEARCH published on TradingView.com, May 05, 2020 23:43:26 UTC
TVC:GOLD, 60 1704.37 ▼ -1.28 (-0.08%) O:1705.19 H:1706.70 L:1701.50 C:1704.37



MORNING STAR CANDLESTICK

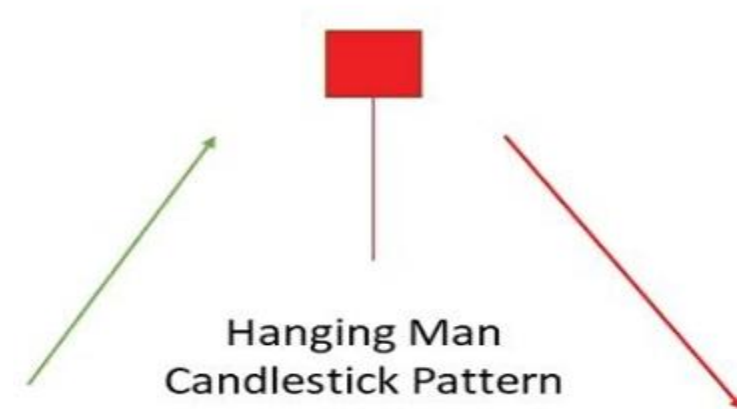


Top 3 Bearish Reversal Examples

These appear at the peak of an up trend and suggest the market is about to drop.

1.The Hanging Man:

A candlestick pattern emerges at the apex of an uptrend and is a bearish reversal pattern. It features a short lower shadow and a small genuine body, indicating that buyers have lost control, and sellers are entering the market. The long lower shadow suggests that buyers are still present but cannot push the price up. The hanging man pattern could indicate a potential trend reversal if it forms after a long uptrend



2- Bearish Engulfing:

A small green candle swallowed by a massive red candle.

Why it's famous: It is the visual definition of "panic selling" taking over.



BEARISH ENGULFING



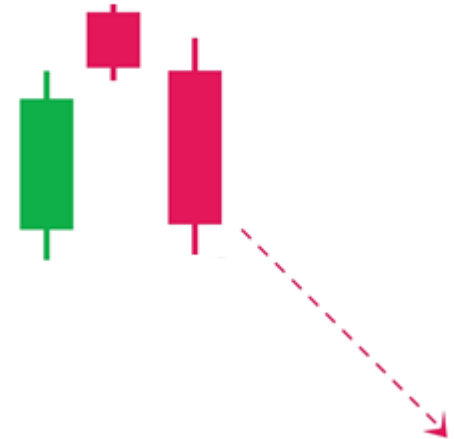
3- Evening Star:

A 3-candle setup (Long Green → Small Star → Long Red).

Why it's famous: The bearish counterpart to the Morning Star. It signifies that the "sun is setting" on the current uptrend.

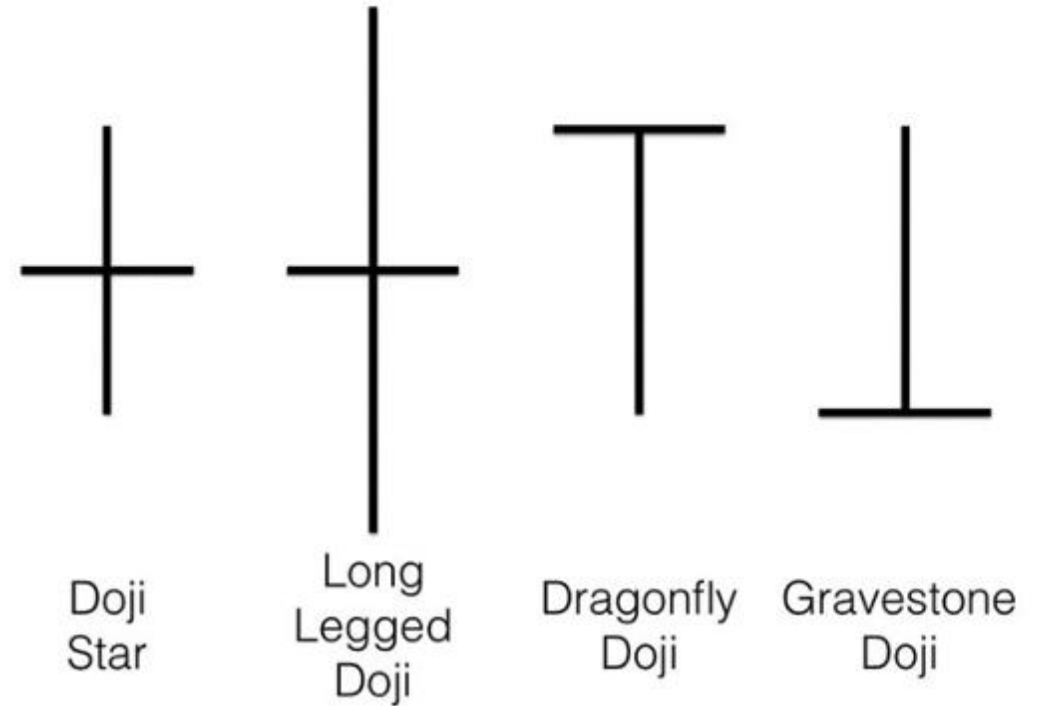


EVENING STAR CANDLESTICK PATTERN



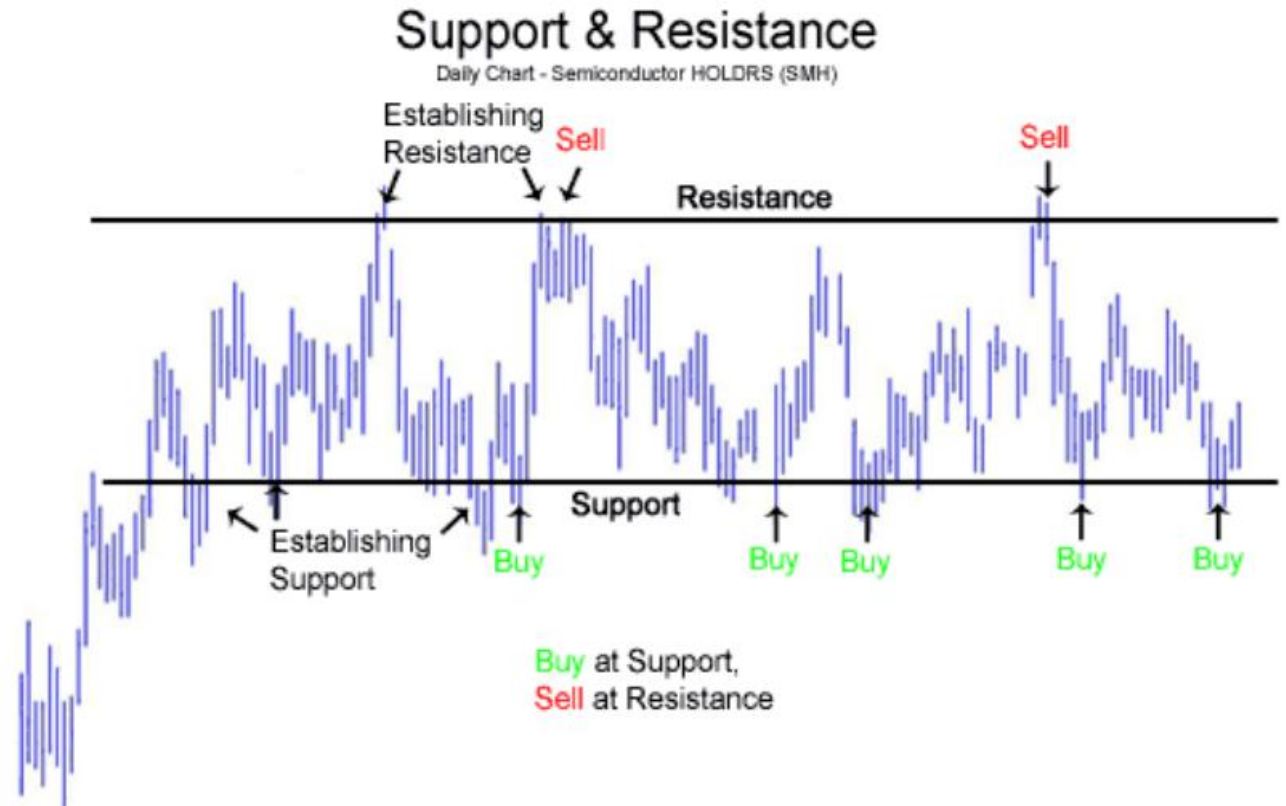
- ❑ The Doji is a neutral pattern that forms when the opening and closing prices are the same or very close to each other. It can signal **indecision** or a **potential reversal**

Doji Candlesticks



❑ The SUPPORT AND RESISTANCE LEVELS

- Support is the price level at which demand is thought to be **strong enough to prevent the price from declining further.**
- The logic dictates that as the price declines towards support and gets cheaper, buyers **become more inclined to buy** and sellers become **less inclined to sell.**
- Resistance is the price level at which selling is thought to be **strong enough to prevent the price from rising further.**
- The logic dictates that as the price advances towards resistance, sellers become **more inclined to sell** and buyers become **less inclined to buy.**



☐ The SUPPORT AND RESISTANCE LEVELS



Role Reversal Concept

Once a key Support or Resistance level is decisively broken, its role often flips.

Broken **Resistance** becomes new **Support** (a strong buy signal).

Broken **Support** becomes new **Resistance** (a strong sell signal).



Role Dynamic Support & Resistance

- Support and Resistance levels that are not horizontal but rather slope up or down with the market's trend.

❑ Dynamic Support in an Uptrend (The "Floor")

It is the Trendline drawn below the "Higher Lows."

Role: It acts as a safety net. Traders use it to find "Buy the Dip" opportunities

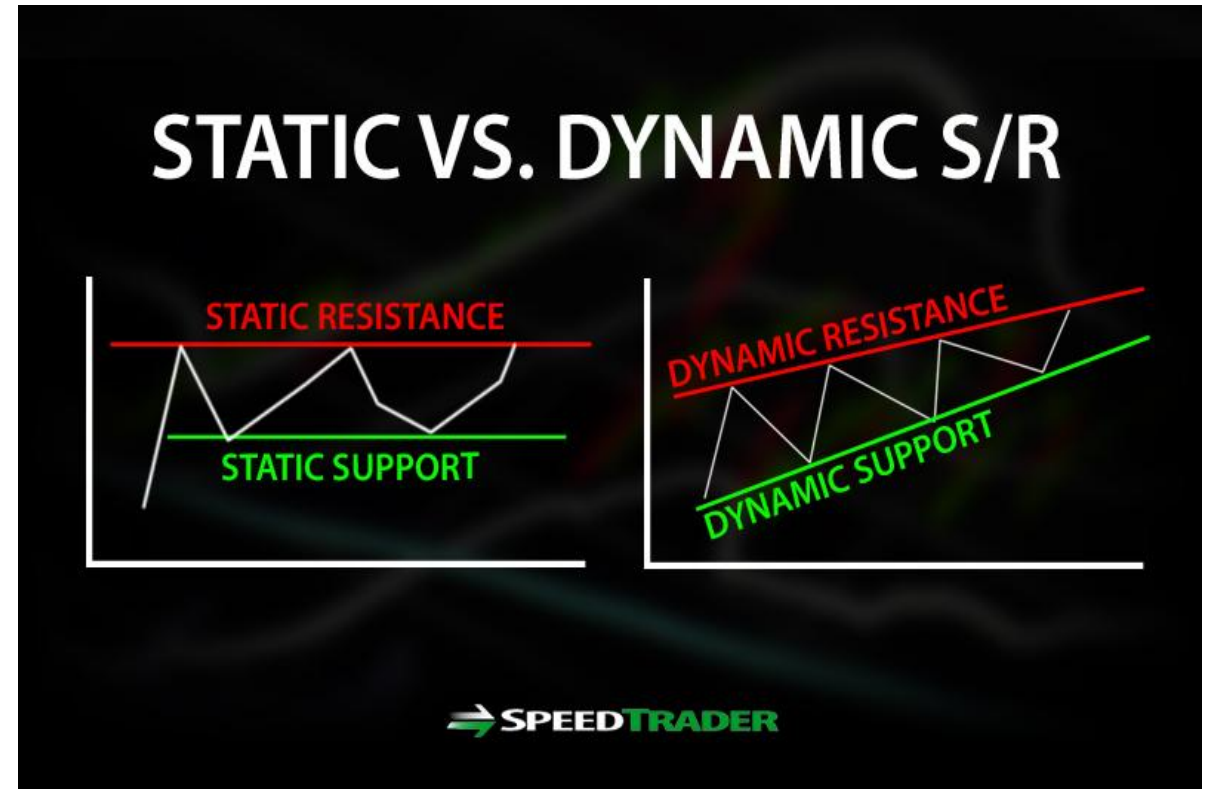
❑ Dynamic Resistance in an Uptrend (The "Target")

It is the Trendline drawn above the "Higher Highs."

Role: It acts as a price target. Traders use it to find "Take Profit" opportunities.

❑ The "Channel" Concept

When you have both Dynamic Support (the floor) and Dynamic Resistance (this ceiling) in an uptrend, you have created a **Trading Channel**.



Role Dynamic Support & Resistance

❑ Dynamic Resistance in a Downtrend (The "Ceiling")

It is the Trendline drawn above the "Lower Highs."

Role: It acts as a barrier. Traders use it to find "v

❑ Dynamic Support in a Downtrend (The "Target")

It is the Trendline drawn below the "Lower Lows."

Role: It acts as a price target. Traders use it to find "Take Profit" opportunities on short positions.

